

Hindustan Unilever Ltd (HINDUNILVR)

ROE	20.2%
ROCE	27.2%
CFO Quality	High Quality
Capital Allocation	Shareholder Returns

Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.